NORTHWIND LOGISTICS

Standard Operating Procedures & Operational Policy Manual

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Owner: Chief Operations Officer | Classification: Internal Use Only

1. Introduction and Scope

This Operations Manual defines the standard operating procedures, policies, and control requirements governing day-to-day operations at Northwind Logistics. It applies to all employees, contractors, and temporary staff engaged in warehousing, order fulfilment, procurement, logistics, customer operations, and supporting functions across all branches.

The purpose of this manual is to ensure consistency, regulatory compliance, operational safety, and a uniform standard of service across the organisation. Where a local branch procedure conflicts with this manual, this manual takes precedence unless a documented exception has been approved by the Chief Operations Officer.

1.1 Document Control

This manual is reviewed annually by the Operations Governance Committee. Interim amendments may be issued as controlled change notices. The current version is always the controlled copy stored in the corporate document management system. Printed copies are considered uncontrolled and must not be relied upon beyond 30 days from the date of printing.

Field	Detail
Document owner	Chief Operations Officer
Review cycle	Annual, or upon material process change
Approval authority	Operations Governance Committee
Distribution	All operational staff via the intranet
Retention	Superseded versions retained for 7 years

1.2 Definitions

- **Branch:** A physical operating site comprising warehousing and distribution facilities.
- **SKU:** Stock-Keeping Unit, the unique identifier for an individual product line.
- **SLA:** Service Level Agreement, the committed performance standard for a service.
- **Escalation:** The structured process of raising an issue to a higher level of authority for resolution.
- **Working day:** Monday to Friday excluding public holidays in the branch's jurisdiction.

2. Inventory Management

Effective inventory management is fundamental to maintaining service levels while minimising working capital tied up in stock. All branches must follow the procedures in this section for receiving, storing, counting, and dispositioning inventory.

2.1 Goods Receipt

All inbound shipments must be inspected and recorded in the Warehouse Management System (WMS) on the same working day they are received. The receiving clerk verifies quantity, condition, and documentation against the purchase order before the goods are accepted into stock.

- Quantities that differ from the purchase order by more than 2% must be flagged to the Procurement team before put-away.
- Damaged goods are quarantined in the designated hold area and photographed for the supplier claim.
- Goods received without a matching purchase order are placed on administrative hold and not released to sellable stock until reconciled.

2.2 Inventory Aging

Inventory aging measures the number of days a SKU has remained in the warehouse since its goods-receipt date without being sold or dispatched. It is calculated as the difference between the current date and the goods-receipt date for each unit. High inventory aging ties up working capital, increases storage cost, and raises the risk of obsolescence or spoilage.

The target average inventory aging across all SKUs is below 45 days. SKUs aging beyond 90 days are automatically flagged for clearance review by the Branch Inventory Controller.

Aging band	Status	Required action
0-45 days	Healthy	Routine monitoring only
46-90 days	Watch	Include in weekly aging review
91-180 days	Clearance	Propose markdown or transfer within 5 days
Over 180 days	Obsolete	Write-off review by Finance Controller

2.3 Cycle Counting

Each branch performs perpetual cycle counts rather than a single annual stock-take. High-value (A-class) SKUs are counted monthly, B-class quarterly, and C-class twice per year. Any count variance exceeding 1% of recorded quantity triggers a recount and a root-cause investigation documented in the WMS.

2.4 Stockouts

A stockout occurs when a SKU reaches zero available quantity while customer demand exists. The target stockout rate is below 2% of active SKUs in any period. Persistent stockouts on A-class items must be escalated to the Demand Planning team for safety-stock review.

2.5 Put-Away and Storage

Following goods receipt, stock must be put away to its designated location within four working hours. Locations are assigned by the WMS based on velocity, weight, and storage compatibility.
Fast-moving SKUs are stored in forward-pick locations close to the dispatch area, while slow-moving and bulk stock is held in reserve locations. Staff must scan both the SKU and the location barcode to confirm each put-away, ensuring perpetual inventory accuracy.

Hazardous materials, temperature-sensitive goods, and high-value items have dedicated storage zones with additional access controls. Under no circumstances may incompatible materials be co-located; the WMS enforces segregation rules and will reject non-compliant put-away scans.

2.6 Stock Transfers Between Branches

Inter-branch transfers are used to rebalance inventory and reduce aging at one site by fulfilling demand at another. Transfer requests are raised in the WMS and require approval from both the originating and receiving Branch Inventory Controllers. Goods in transit remain on the originating branch's books until receipted at the destination. Transfers proposed to clear aging stock should be prioritised where total landed transfer cost is lower than the projected markdown.

2.7 Write-Offs and Disposal

Stock identified as obsolete, expired, or unsalvageably damaged is proposed for write-off. Write-offs above $5,000 require Finance Controller approval. Disposal must follow environmental regulations, and hazardous waste must be routed through an approved waste contractor. All write-offs are recorded with a reason code to support trend analysis and supplier-quality claims.

3. Procurement and Purchasing

This section governs how procurement requests are raised, approved, and converted into purchase orders. All procurement activity must flow through the Procurement Portal to ensure budget control and audit traceability.

3.1 Approval Workflow

Approval routing is determined by the total value of the procurement request. Each tier requires the approvals listed below before a purchase order may be issued.

Request value	Required approvals	Additional requirements
Under $1,000	Direct manager acknowledgement	None
$1,000 - $10,000	Direct manager + Department Head	Budget availability check
$10,000 - $50,000	Department Head + Finance Controller	Two competing quotes
Above $50,000	Finance Controller + CFO + Committee	Three quotes + justification memo

3.2 Vendor Management

All vendors must appear on the Approved Vendor List before a purchase order is issued. Onboarding a new vendor requires a completed due-diligence form and Finance approval, which typically takes 5 working days. Vendor performance is reviewed semi-annually against quality, on-time delivery, and pricing benchmarks.

3.3 Emergency Procurement

Emergency procurement may be used only where an operational disruption poses imminent risk. It may bypass the competing-quote requirement with written CFO approval, but all monetary approval tiers in section 3.1 still apply. Emergency purchases must be reconciled within 10 working days with full supporting documentation.

3.4 Purchase Order Lifecycle

- Draft: created by the requester and validated against budget.
- Approved: all required approvers have signed off in the portal.
- Issued: transmitted to the vendor and acknowledged.
- Received: goods receipted against the order in the WMS.
- Closed: invoice matched and payment scheduled.

3.5 Three-Way Matching

Before any invoice is paid, Finance performs a three-way match between the purchase order, the goods-receipt record, and the supplier invoice. The match confirms that quantities and prices agree across all three documents. Invoices that fail to match are placed on payment hold and routed to the Procurement team for resolution. Tolerance thresholds allow automatic matching for minor rounding differences below $5 or 1%, whichever is lower.

3.6 Contract and Spend Management

Recurring purchases should be covered by framework contracts negotiated by the Procurement team to secure volume pricing and consistent terms. Spend is analysed quarterly to identify consolidation opportunities and off-contract or maverick purchasing. Departments are accountable for keeping their procurement within approved budget, and overspend must be explained in the monthly finance review.

3.7 Ethical Sourcing

Suppliers are expected to meet the company's standards for labour practices, environmental responsibility, and anti-bribery compliance. Due-diligence screening includes sanctions checks and, for higher-risk categories, a review of the supplier's sustainability credentials. Staff must not solicit or accept inducements from suppliers, consistent with the code of conduct.

4. Shipment and Logistics

This section defines how outbound shipments are processed and how delays are escalated. The objective is to protect the customer experience while controlling cost and maintaining carrier accountability.

4.1 Order Fulfilment

Orders are released to the pick-pack-ship process based on the committed dispatch date. The order fulfilment rate, defined as the percentage of orders shipped complete and on time, must remain at or above 98%. On-time delivery against the committed delivery date must remain at or above 95%.

4.2 Delayed Shipment Escalation

A shipment is considered delayed when it has not been delivered within 24 hours of its committed delivery date. A shipment is considered critical when it is for a Tier-1 customer or has a value exceeding $50,000. Delays are escalated according to the following tiers.

Tier	Trigger	Action and owner
Tier 1	0-24 hours late	Coordinator contacts carrier and logs the delay. No management needed.
Tier 2	24-48 hours late	Escalate to Regional Logistics Manager; open incident; notify customer with revised E
Tier 3	48+ hours OR any critical shipment	Escalate to Head of Logistics and Account Manager; recovery plan documented withi

4.3 Customer Communication During Delays

For all Tier 2 and Tier 3 escalations, the Account Manager owns customer communication. Coordinators must never commit to compensation or refunds without Account Manager approval. Service credits for delayed critical shipments require Head of Logistics sign-off and are capped at 10% of shipment value.

4.4 Carrier Performance

Carrier performance is tracked monthly against on-time delivery, damage rate, and claims responsiveness. Carriers falling below 90% on-time delivery for two consecutive months are placed on a performance improvement plan, and volume may be reallocated to alternative carriers.

4.5 Dispatch Documentation

Every outbound shipment must be accompanied by a packing list, a carrier consignment note, and, where applicable, customs and dangerous-goods documentation. The dispatch clerk verifies that the documentation matches the physical load before the vehicle is released. Discrepancies must be resolved before dispatch; a shipment must never leave the site with incomplete paperwork, as this exposes the company to compliance penalties and delivery failures.

4.6 Route Planning and Cut-Off Times

Daily dispatch cut-off times are published per branch and per carrier. Orders confirmed before the cut-off are committed for same-day dispatch; those after the cut-off roll to the next working day. Route planning consolidates deliveries to minimise cost per drop while honouring committed delivery windows. Express and Tier-1 customer shipments take priority in route sequencing.

4.7 Proof of Delivery

Proof of delivery must be captured electronically at the point of handover, including the recipient name and a timestamp. For high-value or critical shipments, a signature and photographic confirmation are mandatory. Proof of delivery records are retained and linked to the order so that delivery disputes can be resolved quickly and accurately.

5. Customer Returns and Refunds

This section defines the end-to-end returns process, approval thresholds, and refund timelines. The aim is to handle returns fairly and quickly while protecting against fraud and uncontrolled cost.

5.1 Logging a Return

When a customer requests a return, the request must be logged in the Returns Module within the same working day. The system generates a Return Authorisation number that must accompany the returned goods.

5.2 Return Approval Thresholds

Return value	Approval required
Under $500	Any team lead
$500 - $2,000	Regional Manager
Above $2,000	Finance Controller

5.3 Inspection and Refunds

Refunds are issued only after the returned item has been received and inspected at the warehouse. Inspection must be completed within 3 working days of receipt. Customer-facing staff must not promise refund timelines beyond the standard statement of 7 to 10 working days after the item is received.

5.4 Damaged-on-Arrival Fast Track

Items reported as damaged on arrival follow a separate fast-track process. Photographic evidence together with a team-lead sign-off is sufficient to trigger an immediate replacement without waiting for the returned item to be received, provided the order value is under $2,000.

5.5 Restocking and Disposition

Returned goods that pass inspection are restocked as sellable inventory. Items that fail inspection are dispositioned as refurbishable, returnable to supplier, or scrap, and the appropriate reason code is recorded. Opened or used consumable products may not be restocked and are routed to disposal in line with hygiene and safety policy.

5.6 Fraud Prevention

Returns are monitored for patterns indicative of abuse, such as repeated high-value returns from the same account or returns of items materially different from those shipped. Suspected fraudulent returns are escalated to the Customer Operations Lead and may be placed on hold pending investigation. Refunds are never released before inspection where fraud indicators are present, regardless of customer pressure.

6. Key Performance Indicators

The following KPIs are monitored at branch and organisational level. Each KPI has a defined owner and a target. Performance is reviewed in the monthly operations review.

KPI	Definition	Target
Inventory Aging	Average days SKUs held since receipt	< 45 days
Order Fulfilment Rate	Orders shipped complete and on time	>= 98%
On-Time Delivery	Shipments delivered by committed date	>= 95%
Stockout Rate	Active SKUs reaching zero with demand	< 2%
Return Rate	Returns as a share of orders shipped	< 4%
Inventory Accuracy	Cycle-count agreement with system	>= 99%

Branches consistently missing a KPI target for two consecutive months must produce a corrective action plan owned by the Branch Manager and reviewed by the Regional Director.

7. Health, Safety and Compliance

Northwind Logistics is committed to providing a safe working environment. All staff are responsible for following safety procedures and reporting hazards. Non-compliance with safety procedures is treated as a serious disciplinary matter.

7.1 Personal Protective Equipment

- High-visibility vests must be worn at all times in warehouse operating areas.
- Safety footwear with reinforced toes is mandatory on the warehouse floor.
- Cut-resistant gloves are required when handling banding, blades, or sharp packaging.

7.2 Manual Handling

Staff must follow safe lifting techniques and use mechanical aids for loads above 20 kilograms. Two-person lifts are required for awkward or unstable loads. Manual-handling training is refreshed annually.

7.3 Incident Reporting

All accidents, near-misses, and hazards must be reported in the Safety Incident System within 24 hours. Serious incidents involving injury must be reported immediately to the Branch Manager and the Health and Safety Officer. Incident trends are reviewed monthly to identify systemic risks.

7.4 Regulatory Compliance

Each branch maintains a compliance register covering fire safety, equipment inspection, hazardous-materials handling, and environmental obligations. Compliance audits are conducted twice per year by an independent assessor.

8. Workforce and Conduct

This section sets out core expectations for attendance, conduct, and leave. It complements, and does not replace, the full Employee Handbook.

8.1 Working Hours and Attendance

Standard core collaboration hours are 10:00 to 15:00 local time, within which staff are expected to be available. Shift patterns are published two weeks in advance. Unplanned absence must be reported to the line manager at least one hour before the shift start.

8.2 Remote Work

Eligible office-based staff may work remotely up to three days per week with manager approval. Home-office equipment requests are capped at $500 per employee per year and require manager authorisation through the Procurement Portal.

8.3 Code of Conduct

- Treat colleagues, customers, and partners with respect at all times.
- Protect confidential and customer information in line with the data protection policy.
- Declare any conflict of interest to your line manager.
- Do not accept gifts from suppliers exceeding a nominal value of $50.

8.4 Leave

Annual leave must be requested through the HR system and approved by the line manager. Requests should be submitted at least 10 working days in advance for periods longer than two days. Carryover of unused leave is limited to five days into the following year.

8.5 Training and Development

All operational staff complete an induction programme within their first two weeks, covering safety, systems, and core procedures. Role-specific training is assigned through the learning management system, and mandatory compliance modules must be completed annually. Managers are responsible for ensuring their teams' training records remain current; staff with overdue mandatory training may be restricted from certain duties until compliant.

8.6 Performance Management

Performance is reviewed formally twice per year against objectives agreed with the line manager. Where performance falls below expectations, a structured improvement plan with clear milestones is put in place. The process is supportive and developmental, but sustained underperformance after a fair improvement period may lead to further action under the disciplinary policy.

8.7 Grievance and Whistleblowing

Staff may raise grievances through their line manager or, where that is inappropriate, directly with Human Resources. The company operates a confidential whistleblowing channel for reporting suspected fraud, safety breaches, or misconduct. Reports made in good faith are protected, and retaliation against anyone raising a genuine concern is itself a serious disciplinary offence.

9. Data Protection and IT Use

Protecting company and customer data is a legal and contractual obligation. This section defines the baseline controls every employee must follow.

9.1 Acceptable Use

Company systems are provided for business purposes. Limited reasonable personal use is permitted provided it does not interfere with duties or breach policy. Staff must not install unauthorised software or connect unapproved devices to corporate systems.

9.2 Data Classification

Classification	Description	Handling
Public	Approved for external release	No restriction
Internal	Default for business information	Share only within the organisation
Confidential	Sensitive commercial or personal data	Access on a need-to-know basis
Restricted	Highly sensitive (credentials, financial keys)	Strict access control and encryption

9.3 Passwords and Access

Staff must use unique strong passwords and the company password manager. Credentials must never be shared or written down. Access to systems is granted on the principle of least privilege and reviewed quarterly. Suspected security incidents must be reported to the IT Security team immediately.

9.4 Data Retention

Operational records are retained according to the corporate retention schedule. Personal data is held only as long as necessary for the purpose for which it was collected and is then securely disposed of.

10. Governance, Exceptions and Review

This final section describes how the manual is governed, how exceptions are handled, and how continuous improvement is managed.

10.1 Exception Handling

Any deviation from this manual requires a documented exception request submitted to the Operations Governance Committee. The request must state the business justification, the risk, and the proposed compensating controls. Approved exceptions are time-limited and reviewed at expiry.

10.2 Continuous Improvement

Staff are encouraged to suggest process improvements through the operations improvement channel. Suggestions are triaged monthly, and accepted changes are incorporated into the manual through the controlled change process.

10.3 Non-Compliance

Failure to follow the procedures in this manual may result in corrective action up to and including termination, depending on severity. Repeated minor non-compliance is treated cumulatively.

10.4 Document Approval

Role	Name	Approval date
Chief Operations Officer	A. Patel	1 January 2026
Finance Controller	M. Okonkwo	1 January 2026
Head of Logistics	S. Larsson	1 January 2026
Health & Safety Officer	R. Costa	1 January 2026

End of document. This manual supersedes all previous versions of the Northwind Logistics Operations Manual.